HRM 1 REM

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HRM 1 Final Exam

Tips and Fundas

What to study?

- Concepts
- Frameworks
- Coursemat Case facts not needed. (it's open book so you can refer your casemat in case it is needed.)

About the Exam

- 120 mins
- Case-based (Generally)
- Open-book
- Use relevant frameworks, don't force fit.
- Might have a theoretical question beyond the case based questions.

SESSION 1-2 OVERVIEW

About HRM

SESSION 1-2: OVERVIEW

Definition of HRM

Core Balance

HRM balances what the organization wants **(productivity, efficiency, performance)** with what employees want **(growth, rewards)**.

Primary Goal

Goal: Facilitate the effective use of people to achieve individual and organizational goals.

SESSION 1-2: FOUNDATIONS

Objectives of HRM

1. Opposing Forces

Individuals: More money, less work

Companies: Less money, more work

2. Integrated Sub-Systems

HRM is a system of integrated sub-systems.

It has to align to get synergized benefits.

3. Formal & Informal Systems

Formal: Design, Policies, Recruitment systems, Compensation policies *(What should happen)*

Informal: Idiosyncrasies, Culture set by people *(What is happening)*

4. Strategy Implementation

HRM is used to implement strategy. HR strategy enables business strategy—converting formulation to implementation.

SESSION 1-2: SCOPE

Scope of HRM

1. Recruitment & Selection

Attracting and selecting the right talent for organizational needs.

2. Training & Development

Enhancing employee skills, competencies, and career potential.

3. Performance Management

Setting expectations, evaluating results, and aligning output.

4. Compensation & Rewards

Structuring monetary and non-monetary incentives effectively.

5. Employee / Industrial Relations

Managing workplace relations, communication, and compliance.

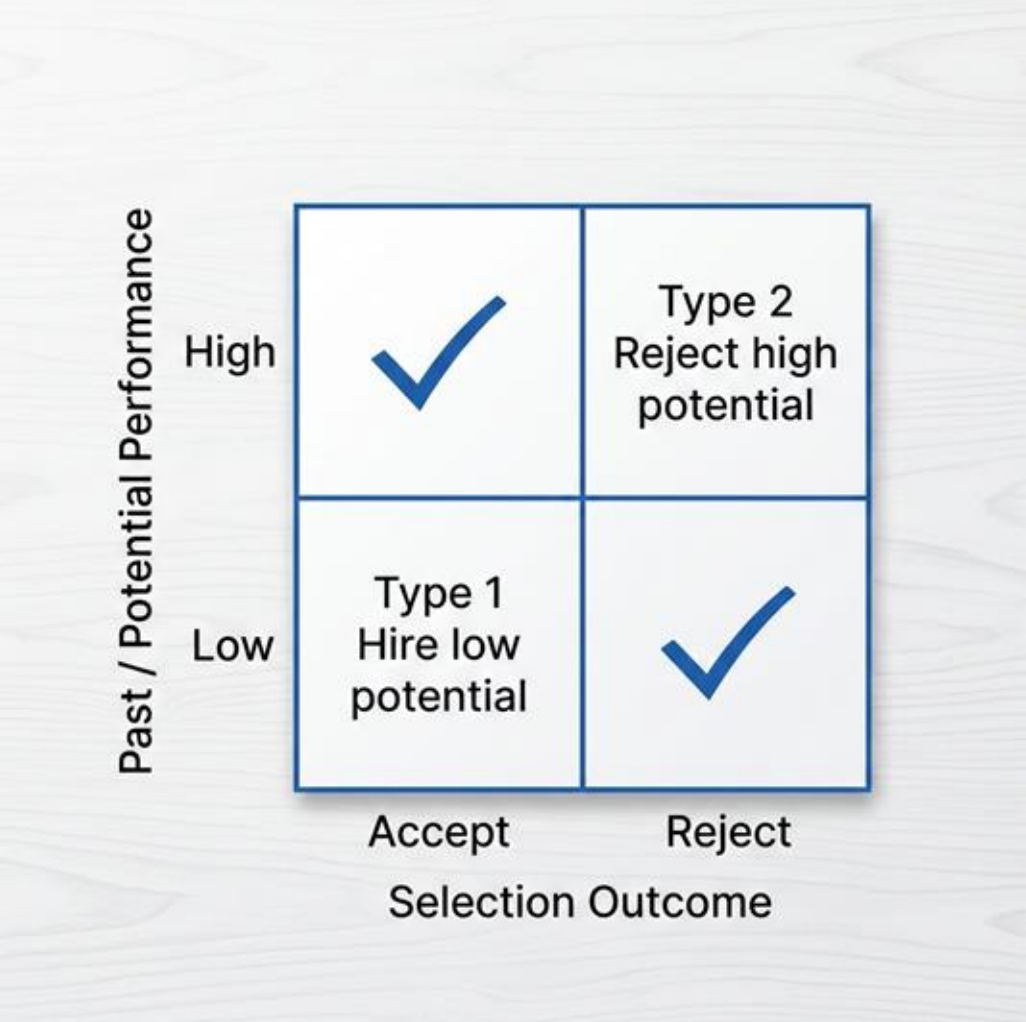
Recruitment & Selection: Matrix & Trade-offs

Key Principles

- **Recruitment:** Positive process (pull)
- **Selection:** Negative process (push)
- **Trade-off between errors:** Minimizing Type 1 error increases Type 2 error, and vice versa.
- Hiring process is all about minimizing damage due to mistakes.

Type 1 Error Tolerated When:

- **Job:** Entry-level positions (Mass recruitment)—low hiring costs, trainable job, non-strategic decisions.
- **Organization:** Weak employer brand (Big companies afford Type 2 error).
- **Industry:** Industry is growing rapidly.



SESSION 3-4: RECRUITMENT & SELECTION

Key Questions to Ask Before Recruiting

WHERE?

Target Candidate Location

Identifying candidate pools and optimal hiring locations.

WHAT?

Job Description & Capabilities

Defining core role responsibilities and required candidate capabilities.

HOW?

Process & Evaluation

Establishing systematic processes for evaluating and selecting talent.

Biases in Hiring & Mitigation Strategies

Common Biases & Interventions

Biases: Halo effect, Closure bias, Similarity bias, Mood-based decisions.

- **Reduce bias in CVs:** Exclude photo, gender, etc.
- **Reduce bias in Interviews:** Monitor process & criteria; prefer structured formats & assessments.
- **Reduce bias in Tests:** Avoid for mid/low-level; suited for CXO or armed forces.
- **Reduce bias in Recommendations:** Perform rigorous BGV.

Why Biases Persist

- **Diverse teams may not reduce biases:** People don't change decisions after discussion due to superiority complex; discussions may reaffirm biases.
- **Structure may not reduce bias:** People often bypass systems. The system is only as strong as its implementor.
- **Hiring Regret:** You most probably will regret your hire.
- Different people with different backgrounds choose different interviewees.

Performance Management Systems

Features of a Good System

Fair | Transparent | Objective | Just

**Note: Numbers often give a false illusion of objectivity.*

Key Functions

- Rewards & promotions
- Signaling expectations
- Controlling & influencing behavior
- Legal compliance (hiring/firing decisions)
- Development feedback

Lead vs Lag Indicators

Definitions

Lead Indicators: Processes (e.g., cross-selling, number of new projects). Actions that drive results.

Lag Indicators: Results/Outcomes (e.g., ROI, revenue).

Which Indicator to Use?

- Clear cause-and-effect relationship → **Use Lead**
- Cost of tracking: Lag indicators are generally less expensive to track.
- Creativity desired → **Lag**; Consistency/Standardization desired → **Lead**

Progression & Skill Gaps

Past performance becomes a **lag indicator**.

When an employee moves up the ladder, there is a delta between the skills required in the new role and the skills they currently possess.

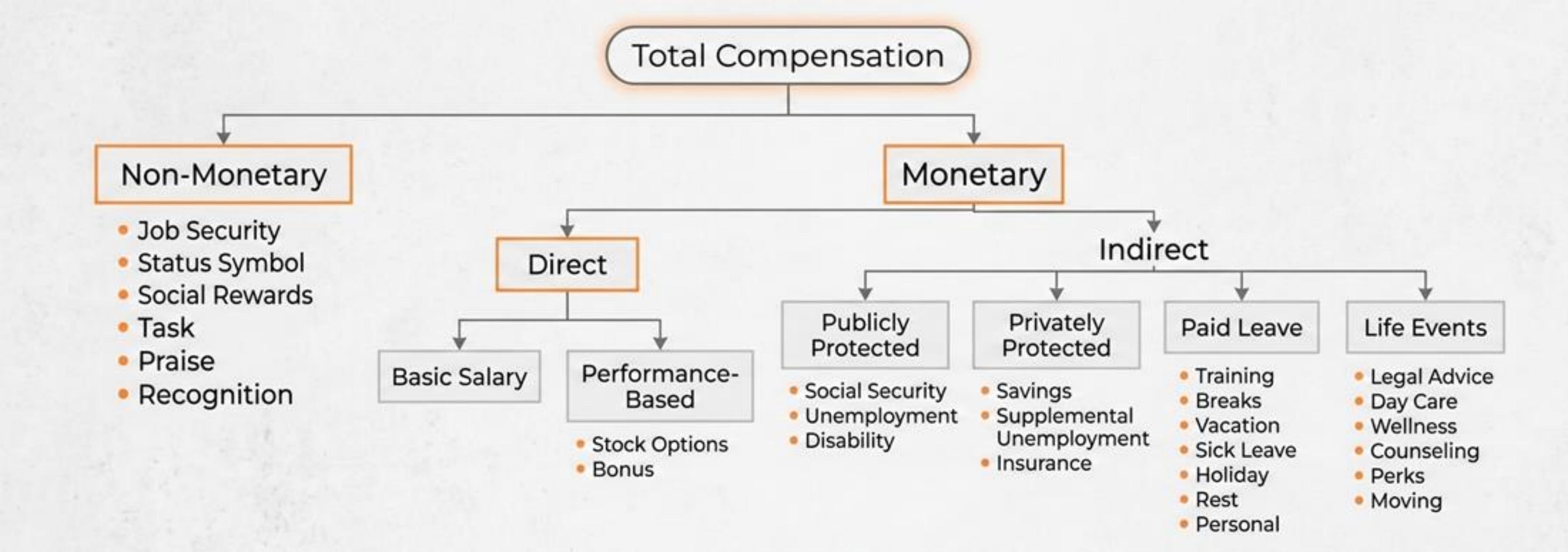
Total Compensation Architecture

Total Compensation

Monetary (Direct): Basic salary, Performance-based variable (Stock options, Bonus).

Monetary (Indirect): Public protected, Private protected, Paid leave, Life events.

Non-Monetary: Job security, Status symbol, Social rewards, Task, Praise, Recognition.



SESSION 6-7: COMPENSATION & REWARDS

Compensation Strategy & Risk Trade-offs

Compensation & Selection Insights

- **Compensation leads to selection:** Package structures pull specific candidate personalities.
- **Hierarchy:** Perks are designed according to hierarchy and determine hierarchy.
- **Exaggerate benefits:** Showcase benefits worth 10k that actually cost 5k.
- **Tax management:** Perks assist in tax management purposes.

Strategy Matrix

Component	Option A	Option B
Fixed	15	28
Variable	35	10
Expected Value	40	32

Option A ⇓ Aggressive people who believe they can do better than others will choose this

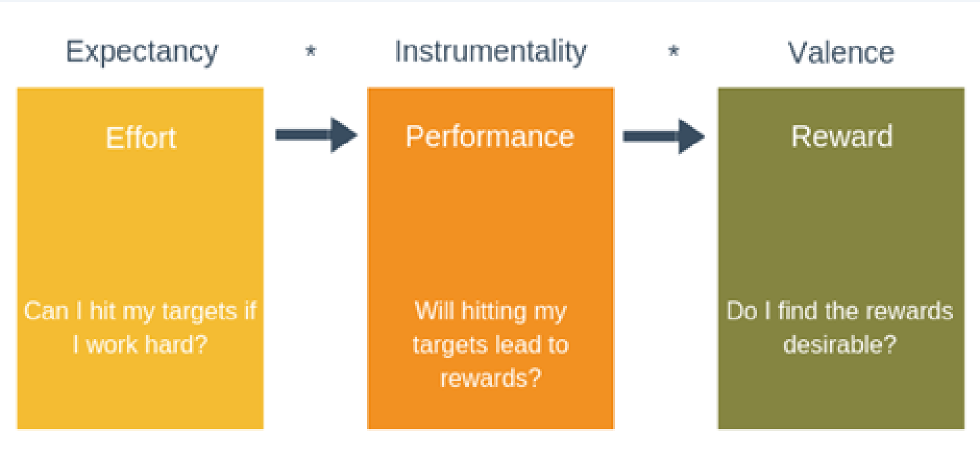
Option B ⇓ Risk-averse people will choose this

Expectancy & Equity Theories

Expectancy Theory

Effort → Performance → Reward (Valence)

- Incentives can be positive and negative.
- Humans are greedy; poorly aligned incentives go wrong.



Equity Theory

Inputs: Effort, time, skill, education | **Outputs:** Salary, recognition, promotions

Under-reward: Anger, demotivation

Over-reward: Guilt, complacency

$$\frac{\text{Input}_{\text{own}}}{\text{Output}_{\text{own}}} = \frac{\text{Input}_{\text{others}}}{\text{Output}_{\text{others}}} \quad \text{(Equity)}$$

$$\frac{\text{Input}_{\text{own}}}{\text{Output}_{\text{own}}} > \frac{\text{Input}_{\text{others}}}{\text{Output}_{\text{others}}} \quad \left\{\begin{matrix}\text{under-reward} \\ \text{anger, demotivation}\end{matrix}\right\}$$

$$\frac{\text{Input}_{\text{own}}}{\text{Output}_{\text{own}}} < \frac{\text{Input}_{\text{others}}}{\text{Output}_{\text{others}}} \quad \left\{\begin{matrix}\text{over-reward} \\ \text{guilt, complacency}\end{matrix}\right\}$$

Employee / Industrial Relations

Manager & Worker Communication

- External party interventions among managers and workers are dangerous.
- Managers and workers solve issues through informal and formal communication.

Frequent Meetings Required When:

- They are both new
- Crisis situation
- Fights between managers and workers

Evolution / Birth of HR

1. Hawthorne Experiment
2. Marx (Unionism)
3. Service Predominant

ACROSS SESSIONS: FRAMEWORKS

AMO Framework

Performance = f (Ability × Motivation × Opportunity)

Ability

Employees must have the skills, knowledge, and competencies to perform.

Built through: Recruitment & selection, Training & development

Motivation

Employees need incentives and reasons to put in effort.

Driven by: Compensation & rewards, Bonuses, Recognition, Appraisals

Opportunity

Employees need opportunities to apply their skills.

Provided through: Job design, Autonomy, Feedback, Participation in decisions

ACROSS SESSIONS: FRAMEWORKS

Dave Ulrich HR Model

Strategic Partner (Strategic + Processes): Align HR policies with business strategy (e.g., workforce planning for expansion).

Change Agent (Strategic + People): Drive change, manage transformation, build adaptability (e.g., digital transformation).

Administrative Expert (Operational + Processes): Ensure efficient systems, policies, compliance (e.g., payroll, HR tech).

Employee Champion (Operational + People): Advocate for employee needs, morale, and engagement (e.g., wellbeing).

ACROSS SESSIONS: FRAMEWORKS

CCD & ASA Models

CCD Model

Consistency: Policies must be integrated, predictable, and applied uniformly over time.

Consensus: Agreement among key stakeholders (HR, managers, leadership) on "why" and "how".

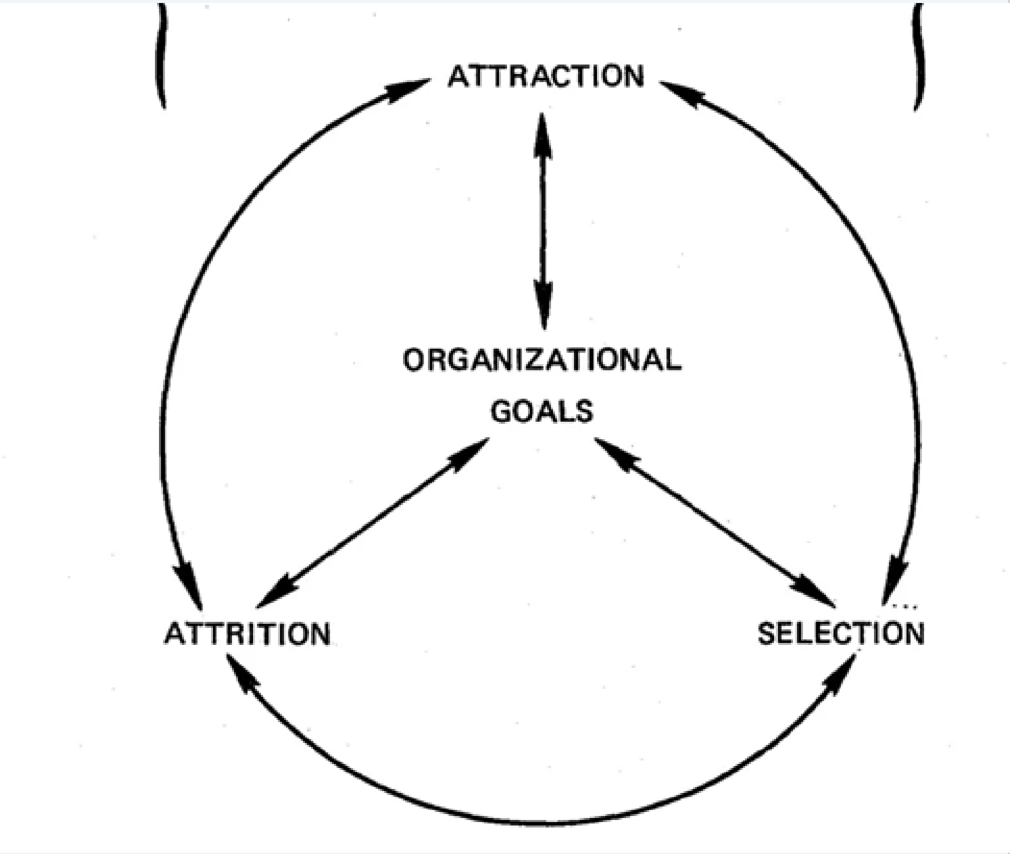
Distinctiveness: Policies must be clear, visible, and relevant to employees.

ASA Model

1. **Attraction:** Attracted to matching organizational values.

2. **Selection:** Organizations select candidate culture fit.

3. **Attrition:** Non-fits leave; workforce becomes homogeneous over time.



ACROSS SESSIONS: FRAMEWORKS

Dunlop Industrial Relations Framework

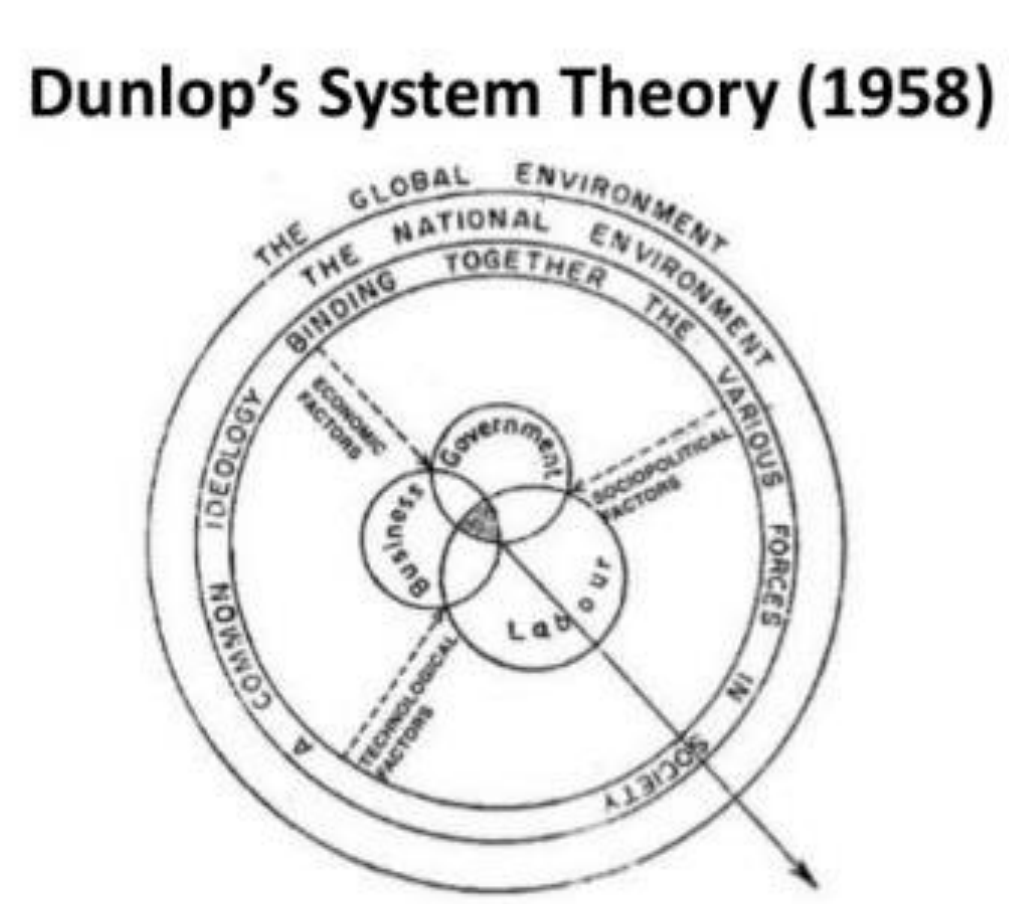
Core Components

3 Actors: Employers/Management, Employees/Unions, Government/Agencies negotiate, cooperate, or conflict.

Environment:

- *Economic factors:* Budgets and demands.
- *Technology:* Changes roles and bargaining topics.
- *Social/Political:* Laws, culture, public opinion.

Rules & Ideology: Actors create formal/informal rules; shared philosophy shapes conflict management.



ACROSS SESSIONS: FRAMEWORKS

Input Process Output Control Model

Control Inputs	Control Process	Control Output
Impossible to monitor process or outcome (last resort) Ex: remote work, cannot monitor so just select highly qualified people	If process can be measured Ex: observe hygiene in fast food chain	Easy to measure Ex: sales, NPS
Cost of input is high relative to value Ex: don't waste gold, monitor factory properly	Cheap to monitor Ex: assembly line supervisor	Cheap Ex: automated processes, CRM
Quality / Safety matters Ex: hospital	Standardization is important Ex: customer care helpline	Cause-effect not understood Ex: New HR policy is intruced and it is working but you don't know which part is bringing results
	Understand cause-effect Ex: adding training module will aid employees success	Freedom to innovate is desired Ex: creative design sprint
	Proprietary methods Ex: unique training process with competitive edge	

ACROSS SESSIONS: FRAMEWORKS & INSIGHTS

SSCB Model & Additional Insights

SSCB Model

1. **Strategy:** Business goal alignment (e.g., cost-leadership emphasis on efficiency).

2. **Structure:** Hierarchy, reporting lines, teams (flat for innovation vs formal for control).

3. **Competency:** Skills, knowledge, capabilities required.

4. **Behaviour:** Desired behaviors (e.g., safety-first in aviation, customer-centric in service).

Additional Key Concepts

- **Tournament Model:** High rewards for limited employees foster internal competition.
- **Globalization:** Boundaryless flow of labor/capital.
- **Cross-Selling:** Comprehensive solutions ("One Firm Firm").
- **Training Success Rates:** Hard skills (~70%) vs Soft skills (~27%).
- **Informal Culture & Incentives:** Informal culture drives change; poorly designed incentives risk negative behaviors.
- **Illusion of Objectivity & Attrition:** Ratings hide qualitative factors; attrition can remove poor fit.

Questions & Discussion

Human Resource Management — Comprehensive Review

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